

Question 35 · Unit 2 · 8 Marks

Evaluate the effectiveness of using potential appraisal together with performance appraisal for employee development.

Introduction

Evaluate means compare combined use with using either tool alone, state benefits, state risks, give conditions for success, and end with a verdict. Performance appraisal asks how well the present job was done. Potential appraisal asks how far the person can go in other or higher work. Employee development needs both yesterday's evidence and tomorrow's capacity.

Detailed points

- 1. They answer different development questions.** A person can be excellent today and still lack capacity for a larger leadership role. A person can be average in a badly fitting job and still have high potential elsewhere. One number cannot answer both questions. Combined use is more effective because it matches Unit 1's dual objective: present role and future role.
- 2. Avoids wrong promotions — a strong effectiveness argument.** Promoting the best salesman to sales manager only because of performance is a classic failure (Peter Principle). Combined use protects the person from a role they cannot do and protects the organisation from losing a good specialist and gaining a bad manager.
- 3. Richer, fairer development paths.** High performance + high potential → leadership track with stretch jobs. High performance + limited managerial potential → specialist excellence, education, recognition without a forced ladder. Low performance + high potential → coaching and perhaps role change. Low both → basic skill or exit decisions. Development becomes tailored, which is more effective than one path for all.
- 4. Motivation and transparency when done well.** Employees understand why some get stretch roles. Criteria are dual, not mysterious. That fairness supports HRD climate and willingness to develop.
- 5. Risks that reduce effectiveness (must be in an evaluation).** Secret potential lists; bias; both judgements made in five minutes by one untrained boss; no feedback to the employee; no career action after the label. Then combined use is political and can harm development more than performance-only appraisal.
- 6. Conditions for effectiveness.** Separate time and tools for the two judgements; trained assessors; multiple inputs; feedback; training and career moves that actually follow; review of potential as people grow. Effectiveness is not automatic from using two forms.
- 7. Compared with potential-only or performance-only.** Performance-only HRD over-invests in today's job. Potential-only HRD may ignore that the person is failing customers today. Together they balance current contribution and future capability.
- 8. Verdict.** Using potential appraisal together with performance appraisal is highly effective for employee development when the two are methodologically separated, fair, transparent to the employee, and followed by real development actions. Without those conditions, the combination is ineffective or damaging. Recommend combined use with quality, not combined use as paperwork.

Conclusion. Give a clear evaluation: together is better than either alone, because present and future development both matter — provided quality, fairness and follow-up exist. Do not praise potential appraisal blindly.